



Guide:

Building a GenAI Strategy for Digital Commerce



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The rapid evolution of Artificial Intelligence (AI) is transforming industries, and digital commerce is no exception. Businesses are increasingly integrating AI into their strategies to streamline operations, enhance customer experiences, and drive growth.

Generative AI (GenAI) is at the forefront of this revolution, offering capabilities that go beyond traditional AI. While AI focuses on predictions and classifications, GenAI generates new, original content—from personalized marketing messages to automated customer support interactions—ushering in a new era of innovation.

According to the IHL Group, AI presents a \$9.2 trillion global opportunity to enhance sales, improve gross margins, and lower costs by the end of the decade. Retailers leveraging intelligent systems with real-time data and analytics have reported up to 2.5 times faster growth in sales and profitability in 2024 compared to non-adopters. Investing in GenAI now can position businesses to capitalize on these gains.



What makes GenAI different?

GenAI refers to AI systems capable of creating new content—text, images, audio, or even code—by analyzing and learning from existing data. In digital commerce, GenAI is being harnessed to create tailored experiences, optimize operations, and unlock new efficiencies.



What Makes GenAI Different from Other AI Technologies

Content Creation vs. Prediction

Traditional AI models are typically designed for prediction, classification, or detection tasks based on input data. In contrast, GenAI can produce novel content, making it capable of tasks like drafting personalized marketing messages or generating product descriptions.

Human-Like Interaction

GenAI models, such as large language models (LLMs), can understand and generate human-like language, enabling more natural and engaging interactions with customers.

Adaptability

GenAI can be fine-tuned for specific tasks across various domains, making it versatile for different applications within commerce.

Busting Myths About GenAI

- **It Replaces Human Creativity**

While GenAI automates content creation, it supplements rather than replaces human ingenuity.

- **It Always Produces Accurate Results**

GenAI can be prone to generating incorrect or nonsensical outputs, necessitating human oversight.

- **Immediate ROI Without Investment**

Effective implementation requires investment in infrastructure, talent, and ongoing maintenance.



GenAI in Action: Real-World Use Cases

GenAI has emerged as a transformative force, offering practical applications across business functions. By integrating GenAI into their operations, companies can boost productivity, improve customer experiences, and unlock new efficiencies. Below are some key use cases that highlight the power of GenAI.

Boosting productivity with virtual assistants

Virtual assistants powered by GenAI streamline daily operations for both business and technical users, such as scheduling, inventory checks, or finding relevant code snippets. These tools free up valuable time, allowing teams to focus on strategic initiatives.

Revolutionizing customer service with AI-powered chatbots

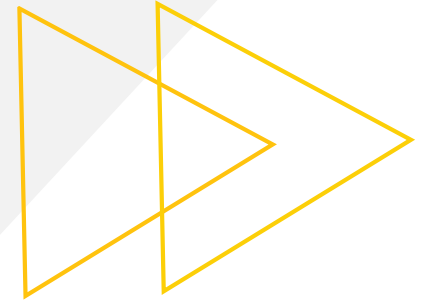
AI-powered chatbots enhance customer experiences by answering questions, editing orders, and providing 24/7 support. Chatbots designed for the shopping journey can use past purchase history to recommend products or even leverage other media, such as images or videos, to assist in finding the right items.

Make content work harder with automated creation

Automated content creation tools can generate SEO-optimized product descriptions, promotional materials, and marketing campaigns.

Smarter merchandising & promotions with data-driven insights

GenAI helps retailers revise product details, configure discounts, and refine catalog data based on real-time analytics. This includes enabling commerce management tasks, such as creating discounts or sourcing rules through natural language commands, replacing complex rule management. Enhanced visual merchandising, such as generating virtual try-ons or product visualizations, further bridges the gap between online browsing and in-store experiences.



Transforming the customer experience with intelligent discovery

Intelligent discovery systems powered by GenAI improve product search and recommendation accuracy. Personalized recommendations, offered in real-time both online and in-store, elevate the shopping experience. Consistent omnichannel experiences ensure seamless interactions across digital and physical touchpoints.

Sharpening decision-making with analytics that deliver

AI-powered analytics tools provide quick reporting and actionable recommendations, helping businesses make data-driven decisions with confidence. Constant sentiment analysis across channels, such as web and social media, provides deeper insights into customer feedback.

There are an infinite number of use cases with GenAI—the key is finding use cases that align with your specific business to achieve ROI faster.



Preparing Your Digital Commerce Ecosystem for GenAI

To unlock the full potential of GenAI, businesses must first prepare their digital commerce ecosystem. This involves identifying areas where GenAI can drive the most value, ensuring data readiness, and upgrading infrastructure to support AI initiatives.

Pinpointing Opportunities

Evaluate areas where GenAI can add value, such as streamlining operations, improving customer interactions, or optimizing inventory management. For instance, 37% of retailers in a recent study cited challenges with maintaining inventory accuracy, highlighting a critical area for GenAI intervention.

Data-Readiness: The Foundation for Success

High-quality data is the cornerstone of GenAI success. A well-structured data ecosystem enables seamless integration and maximizes the potential of AI-driven insights. For example, businesses with advanced data readiness report improved efficiency and decision-making capabilities, highlighting the critical role of accurate and clean data in driving GenAI outcomes.

Upgrading Your Data Structures

Conduct a thorough audit of existing data governance frameworks to ensure compatibility with GenAI tools.



Ensuring Smooth Integration Between GenAI Tools and Existing Commerce Platforms

Integrating GenAI tools with existing commerce platforms can be complex but is crucial for seamless functionality:

Adopt Open Standards

Utilize platforms and tools that support open standards and protocols to simplify integration.

Middleware Solutions

Employ middleware to bridge gaps between GenAI applications and legacy systems.

Modular Architecture

Design systems modularly to enable independent updates and replacements of components.

Collaboration with Vendors

Partner with technology providers to understand integration capabilities and secure reliable support.

API Management

Develop and manage APIs effectively to ensure secure and efficient data exchange.

Testing and Validation

Conduct rigorous testing in controlled environments to identify and address issues before full-scale deployment.

Best Practices for Maintaining Data Quality in GenAI

Data quality directly impacts GenAI performance. Adopting the following practices can ensure optimal outcomes:

Data Cleaning and Preprocessing

Regularly cleanse data to remove errors, duplicates, and irrelevant information.

Consistent Data Formatting

Employ middleware to bridge gaps between GenAI applications and legacy systems.

Comprehensive Data Governance

Implement policies and procedures for data management, including access controls and data lineage tracking.

Bias Detection and Mitigation

Analyze data for potential biases and implement strategies to minimize their impact on AI outputs.

Regular Audits and Monitoring

Continuously monitor data quality and model outputs to detect and correct issues promptly.

User Feedback Incorporation

Leverage feedback from customers and staff to identify data inaccuracies and refine model performance.



Crafting a Winning GenAI Strategy

A well-defined strategy is essential for maximizing the benefits of GenAI. By setting clear goals, fostering collaboration, and scaling strategically, businesses can integrate GenAI into their operations effectively.

Setting Goals That Matter

Align use cases with overarching business goals. The key is balancing short-term wins, such as enhanced customer service, with long-term objectives like operational efficiency.

Building Bridges Across Teams

Engage leadership and cross-functional teams to build a shared vision. Educating stakeholders on the potential of GenAI fosters buy-in and collaboration.

Scaling Across Departments

Start small with pilot projects, measure the impact, and scale successful initiatives. Retailers adopting AI-powered forecasting and allocation have reported up to a 60% reduction in overstock and out-of-stock situations.



Building the Right Tech Infrastructure

Building a robust technology stack is essential for GenAI implementation, as it forms the backbone of effective AI integration. This involves several critical components:

High-Performance Computing

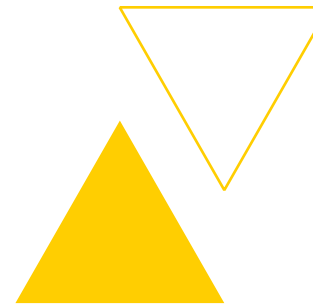
Access to powerful processors (GPUs/TPUs) allow for fine-tuning and running complex AI models efficiently.

Scalable Cloud Platforms

Use services like AWS, Google Cloud, or Azure for flexible and cost-effective deployment.

Data Management Tools

Ensure structured, tagged data for AI models to function optimally. Tagged unstructured data plays a crucial role in Retrieval-Augmented Generation (RAG) solutions, powering LLM-based applications. This includes managing product content, creating detailed how-to guides, and maintaining support-focused knowledge bases.



Advice for Companies Beginning Their GenAI Journey in Digital Commerce

Embarking on a GenAI journey requires a thoughtful approach to ensure success and mitigate risks. Companies should start by identifying clear objectives, such as improving customer service or optimizing inventory management. Specific goals help focus efforts and provide measurable outcomes.

Small-scale pilot projects are a practical way to begin

- ▶ For instance, implementing GenAI-powered chatbots for customer support allows companies to gather insights and demonstrate value before scaling to other areas.

Investing in talent and partnerships is another critical step

- ▶ Organizations may need to hire skilled professionals or collaborate with vendors experienced in GenAI deployment. Strong teams ensure effective implementation and long-term success.

Data management should be a top priority

- ▶ Establishing robust data governance and investing in high-quality data collection, cleaning, and preprocessing will provide a solid foundation for GenAI systems. Reliable data ensures accurate insights and actionable results.



Ethical compliance is equally important

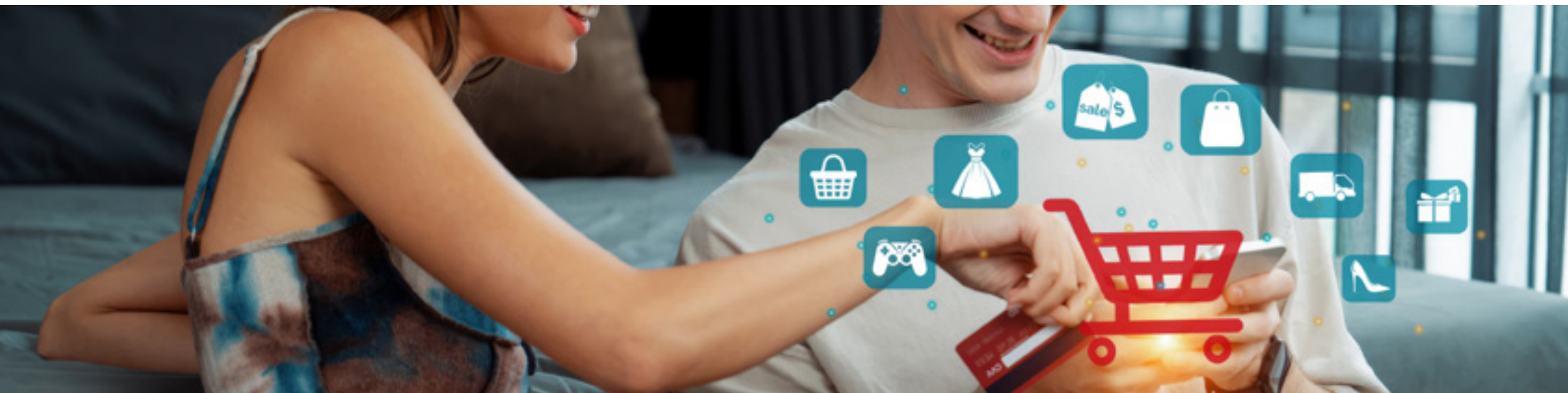
- ▶ Developing clear guidelines to address ethical considerations and regulatory compliance ensures transparency and accountability. By addressing these factors early, companies can mitigate risks and build trust with stakeholders.

Educating employees and stakeholders fosters a culture of learning and openness

- ▶ Providing training on the benefits and limitations of GenAI helps build buy-in across the organization, smoothing the adoption process.

Finally, scalability must be considered from the outset

- ▶ Designing systems and processes that can grow alongside business needs ensures that GenAI investments remain relevant and valuable as the organization evolves.



The Future of GenAI in Commerce

GenAI is set to revolutionize industries by offering highly personalized customer experiences, enhancing interactions through advanced virtual assistants, and automating complex tasks like supply chain optimization. Its integration with emerging technologies such as AR/VR, IoT, and blockchain will drive innovation, while a growing focus on ethical AI ensures transparency and fairness. Additionally, its increasing affordability will make it more accessible to small and medium-sized enterprises.

Conclusion

The transformative power of GenAI presents an unparalleled opportunity for businesses ready to innovate. Those that embrace these tools today will be well-positioned to lead in the digital commerce landscape of tomorrow. Keep these top tips in mind when developing and implementing GenAI into your tech ecosystem:

- ▶ **Prioritize High-Impact Projects:** Not every problem requires a GenAI solution. Focus where it counts.
- ▶ **Ensure Data Integrity:** Regular audits and governance policies maintain consistent performance.
- ▶ **Validate Results:** Controlled tests before scaling ensure outputs are accurate and compliant.
- ▶ **Grounding Outputs:** Use trusted sources to validate results, ensuring credibility and effectiveness.





About Kibo Commerce

Kibo Commerce is a composable commerce platform for retailers, manufacturers, distributors, and wholesalers who want to simplify the complexity in their businesses and deliver modern customer experiences. Kibo is the only modular commerce platform supporting experiences that span Order Management, eCommerce, and Subscriptions. Companies like Zwilling, Ace Hardware, Boscov's, Nivel, and REEDS Jewelers trust Kibo to bring simplicity and sophistication to commerce operations and exceed customer expectations.

Sources:

<https://kibocommerce.com/resource-center/ihl-kibo-intelligent-commerce-survey/>